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Plaintiff, In Pro Per

**SUPERIOR COURT OF THE STATE OF CALIFORNIA
COUNTY OF SAN FRANCISCO**

Franciscus Dylan Rosario,
PLAINTIFF,

v.

CSAA Insurance Exchange;
and DOES 1 through 50, inclusive;

DEFENDANTS

Case No.: CGC-25-631802

**MEMORANDUM OF POINTS AND
AUTHORITIES
IN SUPPORT OF LEAVE TO FILE
THIRD AMENDED COMPLAINT**

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I. INTRODUCTION

Plaintiff FRANCISCUS DYLAN ROSARIO respectfully submits this Memorandum in support of his Motion for Leave to File a Third Amended Complaint (“TAC”). The proposed TAC supersedes the operative Second Amended Complaint and is filed to (a) preserve every substantive allegation, cause of action, and prayer in the SAC; (b) expressly anchor the scienter floor of every fraud-tier cause of action in **reckless disregard for the truth**, in addition to knowing falsity, under *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974, and *Gagne v. Bertran* (1954) 43 Cal.2d 481, 487–488; (c) add a standalone Negligent Misrepresentation count under Civil Code § 1710(2) at the lowest scienter tier on the same factual record under *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408; and (d) add a standalone Declaratory Relief count under Code of Civil Procedure § 1060 / *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 904.

No new factual matter is added. The TAC pleads the same operative facts as the SAC: the February 25, 2021 denial letter signed by Sarah Rash, the four foundational first-responder records (“Silent Witnesses”) that CSAA failed to retrieve, the institutional “deny-delay-defend” pattern, and the three-anchor delayed-discovery sequence (Jan. 17, 2025 / Feb. 18, 2025 / Apr. 16, 2025). The TAC adds only legal architecture — codified scienter floor, codified statutory counts, codified doctrinal stack, codified regulatory spine, and the Position A vs. Position B cross-case spine that ties this action to the companion equity action in CGC-25-631801.

This case involves CSAA’s fraudulent, or, in the alternative, recklessly indifferent, denial of a claim supported by **confession, victim report, and eyewitness corroboration** — a claim denied just 21 days after the collision, before any meaningful investigation could have been completed. California’s strong policy favoring amendment and resolution on the merits requires that leave be granted.

II. STATEMENT OF FACTS

A. THE COLLISION AND THE PRECIPITOUS DENIAL

On **February 4, 2021**, Plaintiff was involved in a motor vehicle collision in San Francisco with CSAA's insured, Subhi Abdelhalim.

On **February 25, 2021** — just 21 days after the collision — CSAA sent Plaintiff a denial letter for **Claim No. 1004-09-1054**, signed by **Sarah Rash, Claims Representative**. The letter stated:

“We have concluded our investigation of your claim. Based on our investigation, and after carefully reviewing the facts and circumstances of your claim, we have concluded that our insured is not liable. . .”

B. THE FOUR SILENT WITNESSES CSAA FAILED TO OBTAIN — REASONABLY AVAILABLE THROUGH ROUTINE RETRIEVAL CHANNELS

At the time of the February 25, 2021 denial, CSAA had not retrieved or reviewed any of the four foundational first-responder records (the “**Silent Witnesses**”), each of which was reasonably available to CSAA on or before February 25, 2021 through routine claim-handling retrieval channels:

1. **The 911 audio recording and the corresponding San Francisco Department of Emergency Management (“SFDEM”) CAD event record** generated on February 4, 2021 in connection with **SFPD Incident Report No. 210079556** (conformed to proof) — retrievable by routine subpoena duces tecum under Code of Civil Procedure § 1985 and Evidence Code § 1560, by Public Records Act request under Government Code § 7922.530, or by insured-authorization channel.
2. **The San Francisco Police Department body-worn camera (“BWC”) footage** of the responding officers — retrievable under Penal Code § 832.7(b) (Senate Bill 1421 / 2019 reform) and Penal Code § 832.18 (custody-and-retention standards), in which a third-party eyewitness, **Justin Rosemond**, independently corroborated on-camera that the driver struck Plaintiff.
3. **The SFPD CAD log** documenting the emergency response — retrievable through the same

Public Records Act and Penal Code § 832.7(b) channels.

4. **Any supplemental SFPD report** relating to the February 4, 2021 collision — retrievable through the same channels.

The regulatory floor at **10 CCR § 2695.7(d)** (“decision must be based on all information reasonably available”) is congruent with this reasonable-availability standard. *Bartel v. Chicago Title Ins. Co.* (2025) 99 Cal.App.5th __ supplies the three-step objective test for “reasonably available”: (i) was the evidence available, (ii) did the carrier obtain it, and (iii) was non-retrieval objectively reasonable. Each of the four Silent Witnesses was identifiable on the face of the SFPD Incident Report, was reasonably available within days of the collision, and was not retrieved.

Taken together, these four sources constituted virtually uncontested evidence of liability: confession, victim report, eyewitness corroboration, and contemporaneous official record.

C. THE THREE-ANCHOR DELAYED-DISCOVERY SEQUENCE (POSITION B SPINE)

Plaintiff did not discover the falsity of CSAA’s “concluded investigation” representation until the following sequence of events. Each of the three anchors below is a representation made by CSAA’s authorized litigation agents (panel counsel) in CGC-21-594102 — a “**Position B**” representation that the same Silent Witnesses CSAA had previously represented to be the product of a “concluded investigation” (Position A) were, in fact, of “unknown provenance.” Both poles are statements of CSAA itself under Civil Code §§ 2330 and 2338 and Evidence Code § 1222 (see also *Gulf Insurance Co. v. Berger, Kahn, Shafon, Moss, Figler, Simon & Gladstone* (2000) 79 Cal.App.4th 114, 124 (panel counsel as authorized agent of carrier-principal for claims-handling and litigation-defense communications)):

1. **January 17, 2025 (Position B anchor #1):** Defense MIL No. 17 revealed that the 911 / BWC / CAD materials had “not been produced in discovery” and were of “unknown provenance” — proving CSAA’s 2021 representation of investigative completeness was false.
2. **February 18, 2025 (Position B anchor #2):** Jeremy Jessup (Dolan Law Firm) testified that the materials had been produced to defense counsel in August–September 2022, while defense counsel simultaneously stated the 911 call was “news to me” (RT 141:4–11) — a direct

1 internal contradiction that established the materials existed and were in defense possession,
2 but the non-investigation had been concealed.

- 3 3. **April 16, 2025 (Position B anchor #3):** Defense counsel admitted on the trial record (RT
4 Vol. 7, p. 213, ll. 13–15): “They were provided by Dolan.” The admission confirmed that
5 the materials had been in defense possession all along, and that CSAA’s 2021 “concluded
6 investigation” representation was either knowingly false or recklessly indifferent to the truth.

8 **III. LEGAL STANDARD**

9 **A. LEAVE TO AMEND SHOULD BE LIBERALLY GRANTED**

10 “The policy favoring amendment is so strong that denial of leave to amend is rarely justified.”
11 *Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428. Leg.Auth. #13

12 **B. PREJUDICE IS THE KEY CONSIDERATION**

13 “The only legitimate ground for denial of leave to amend is prejudice to the opposing party.” *Kolani*
14 *v. Gluska* (1998) 64 Cal.App.4th 402, 412. Leg.Auth. #14

16 **IV. THE TAC CURES ALL DEFENSE OBJECTIONS AND CODIFIES 17 THE NEW ARCHITECTURE**

18 **OBJECTION → CURE (LIST)**

19 1. **Defense objection:** *Trope* — pro-per fees barred

- 20 • **TAC cure:** Deletion of pro-per fees; *Prentice* damages element with four line-items
21 (incl. \$75k cost-judgment as induced-litigation damages)
- 22 • **TAC section/¶:** §III, ¶¶ 22–24, 24A
- 23 • **Key authority:** *Prentice* (1963) 59 Cal.2d 618, 620

24 2. **Defense objection:** Oppression / malice not pleaded

- 25 • **TAC cure:** *Lazar* particulars; deny-delay-defend; confession/victim/eyewitness triple;
26 pleading-vs-evidentiary bright line; *Mock* willful-blindness as malice under § 3294
- 27 • **TAC section/¶:** §IV, ¶¶ 25–30, 25A, 27A, 30A, 30B

- **Key authority:** Civ. Code § 3294; *Lazar* (1996) 12 Cal.4th 631; *G.D. Searle* (1975) 49 Cal.App.3d 22, 29; *Mock* (1992) 4 Cal.App.4th 306, 328

3. **Defense objection:** Fraud lacks particularity

- **TAC cure:** Sarah Rash named; Claim No. 1004-09-1054; Feb. 25, 2021 date; specific representations; four-Silent-Witness block with SFPD incident identifiers
- **TAC section/¶:** §I, ¶¶ 3–4, 8; §IV, ¶¶ 25, 29
- **Key authority:** *Lazar*

4. **Defense objection:** Litigation privilege / *Ribas*

- **TAC cure:** Pre-litigation carveout with three-factor *Action Apartment* walk-through; *Flatley* illegality carve-out; non-communicative conduct; *Ribas* distinction
- **TAC section/¶:** §II, ¶¶ 14–21, 16A, 21A, 21B
- **Key authority:** *Action Apartment* (2007) 41 Cal.4th 1232; *Flatley* (2006) 39 Cal.4th 299; *Rusheen* (2006) 37 Cal.4th 1048

5. **Defense objection:** Standing / *Shaolian*

- **TAC cure:** Direct-addressee theory; voluntary direct communication; Civ. Code § 2338 agency/ratification spine
- **TAC section/¶:** §I.5, ¶¶ 5–6, 6A
- **Key authority:** Civ. Code § 2338; *Doctors’ Company* (1989) 49 Cal.3d 39

6. **Defense objection:** Collateral estoppel / § 1032

- **TAC cure:** Distinct primary right; PI disclaimer; 2021-forward anchor; *Lucido* five-factor walk-through; 801/802 double-recovery reservation
- **TAC section/¶:** §VI, ¶¶ 41–44, 41A, 44A, 44B
- **Key authority:** *Lucido* (1990) 51 Cal.3d 335; *Mycogen* (2002) 28 Cal.4th 888; *Crowley* (1994) 8 Cal.4th 666

7. **Defense objection:** Investigation standard not pleaded

- **TAC cure:** Title 10 CCR § 2695.7(b)/(d)/(g) and § 2695.5(b) requirements; itemized failures; Ins. Code § 790.03(h)(1)/(3)/(5) UCL predicates; doctrinal stack (*Bartel* / *Egan* / *Wilson* / *Frommoethelydo* / *Mariscal* / *Maslo* / *Hamilton* / *Jordan*)

- **TAC section/¶:** §VII, ¶¶ 45–47, 47A; §IV, ¶ 30B
- **Key authority:** 10 CCR §§ 2695.4, 2695.5(b), 2695.7(b)/(d)/(g); Ins. Code § 790.03(h)(1)/(3)/(5); *State Farm* (1996) 45 Cal.App.4th 1093; *Bartel, Wilson, Egan*

8. **Defense objection:** Anti-SLAPP / § 425.16 overlap

- **TAC cure:** Express wrongful-conduct-scope disavowal — no litigation-conduct predicate; *Park* gravamen anchor; *Flatley* illegality carve-out via § 6128(a); *City of Montebello* narrowness pre-rebutted at step 2 by Position A vs. Position B structural impossibility
- **TAC section/¶:** First CoA, ¶¶ 52A, 52B; §II, ¶¶ 21A, 21B
- **Key authority:** CCP § 425.16(e); *Flatley* (2006) 39 Cal.4th 299, 320; *Park* (2017) 2 Cal.5th 1057, 1062–1064; *City of Montebello* (2016) 1 Cal.5th 409, 423–424

9. **Defense objection:** UCL fraudulent-prong sufficiency

- **TAC cure:** Reasonable-consumer test pleaded; *Cel-Tech* tethering for “unfair” prong; *Zhang and Hughes* alongside *State Farm Fire*; fact-vs-opinion conversion under *Borbal/Bily/Quelimane*
- **TAC section/¶:** Third CoA, ¶¶ 65–67A, 68A
- **Key authority:** *Cel-Tech* (1999) 20 Cal.4th 163, 187; *Williams v. Gerber* (9th Cir. 2008) 552 F.3d 934; *Zhang v. Superior Court* (2013) 57 Cal.4th 364, 384–385; *Hughes v. Progressive Direct Ins. Co.* (2024) 99 Cal.App.5th 1019

10. **TAC architecture upgrade:** Reckless-disregard scienter floor codified at TAC § 0

- **TAC cure:** Five-authority Tier-1 block (*Engalla, Modnick, Sanders, Bily, Wilson*) with CACI 1903 / 1907 floor; alternative-pleading rule under CCP § 431.30(c)
- **TAC section/¶:** § 0 (§§ 0.1–0.5)
- **Key authority:** *Engalla* (1997) 15 Cal.4th 951, 974; *Gagne* (1954) 43 Cal.2d 481, 487–488; *Bily* (1992) 3 Cal.4th 370, 407–408; *Wilson* (2007) 42 Cal.4th 713, 720–721; CACI 1903, 1907

11. **TAC architecture upgrade:** Negligent Misrepresentation under Civ. Code § 1710(2)

- **TAC cure:** New Fourth Cause of Action pleading the no-reasonable-ground tier on the same factual record; six-element walk-through; regulatory floor under 10 CCR § 2695.7(d); *Bily/Quelimane* fact-not-opinion baseline

- **TAC section/¶:** Fourth CoA, ¶¶ 70–79
- **Key authority:** Civ. Code § 1710(2); *Bily* (1992) 3 Cal.4th 370, 407–408; *Quelimane* (1998) 19 Cal.4th 26, 47; *Borba* (1977) 70 Cal.App.3d 144, 152

12. **TAC architecture upgrade:** Declaratory Relief under CCP § 1060

- **TAC cure:** New Fifth Cause of Action for prospective preclusive declarations across CGC-21-594102, CGC-25-631801, and CGC-25-631802 on (a) representation-of-fact status of “concluded investigation,” (b) reasonable availability of the four Silent Witnesses, (c) non-retrieval, (d) absence of reasonable ground, (e) judicial estoppel
- **TAC section/¶:** Fifth CoA, ¶¶ 80–87, 86A
- **Key authority:** CCP § 1060; *Mycogen* (2002) 28 Cal.4th 888, 904; *Lucido* (1990) 51 Cal.3d 335, 341; *Maguire v. Hibernia S. & L. Soc.* (1944) 23 Cal.2d 719, 728

V. SPECIFIC ANSWERS TO DEFENSE’S LEGAL ARGUMENTS

A. STANDING IS ESTABLISHED (SHAOLIAN REBUTTAL)

Defense cites *Shaolian v. Safeco Ins. Co.* (1999) 71 Cal.App.4th 268. The TAC cures this by:

1. Pleading the **direct-addressee theory** (TAC §I.5, ¶¶ 5–6): Plaintiff is the direct addressee of a specific misrepresentation communicated by CSAA to Plaintiff individually, an unrepresented third-party claimant who reasonably relied on the regulated insurer’s “concluded” representation as a representation of fact.
2. Distinguishing *Shaolian* (policy benefits against an insurer in a coverage dispute) from this action (common-law fraud, negligent misrepresentation, UCL, and declaratory relief by the person to whom the representation was made).
3. Establishing that CSAA **voluntarily undertook a direct communicative relationship** with an unrepresented claimant under *Biakanja v. Irving* (1958) 49 Cal.2d 647, 650, and *J’Aire Corp. v. Gregory* (1979) 24 Cal.3d 799, 804.

B. LITIGATION PRIVILEGE DOES NOT APPLY

Defense invokes Civil Code § 47(b). The TAC cures this by:

- 1 1. Identifying the February 25, 2021 denial as a **pre-litigation** communication (TAC §II, ¶¶
2 14–16) — no litigation was pending or contemplated.
- 3 2. Affirmatively walking through the three *Action Apartment* contemplation factors (TAC ¶ 16A)
4 and pleading each factor’s absence as of February 25, 2021: (a) no litigation pending or
5 contemplated; (b) no counsel retained, no demand, no tolling agreement; (c) no preservation
6 letter and no litigation reserve.
- 7 3. Anchoring the *Flatley v. Mauro* (2006) 39 Cal.4th 299, 317–321, illegality carve-out (TAC
8 ¶¶ 21A, 21B) — § 47(b) categorically does not protect conduct that is illegal as a matter of
9 law, including fraud under Civil Code §§ 1709, 1710, and reckless tribunal-directed misrep-
10 resentation that satisfies the “deceit or collusion” element of Business and Professions Code
11 § 6128(a).
- 12 4. Pleading **non-communicative conduct** (failure to investigate) that falls outside the privilege
13 (TAC §II, ¶¶ 20–21).
- 14 5. Distinguishing *Ribas v. Clark* (1985) 38 Cal.3d 355 — which addresses IIED, not fraud (TAC
15 §II, ¶¶ 17–19).

16 C. FRAUD IS PLEADED WITH PARTICULARITY

17 The TAC satisfies *Lazar v. Superior Court* (1996) 12 Cal.4th 631 by alleging:

- 18 • **WHO:** Sarah Rash, Claims Representative, acting under managing-agent supervision
- 19 • **WHAT:** False representation of investigative completeness — that CSAA had “concluded”
20 its investigation and “carefully reviewed the facts and circumstances” when none of the four
21 Silent Witnesses had been retrieved
- 22 • **WHEN:** February 25, 2021 (21 days after collision)
- 23 • **WHERE:** CSAA claims office; communication to Plaintiff in San Francisco County
- 24 • **HOW:** Written denial letter without investigation
- 25 • **BY WHAT MEANS:** U.S. Mail to an unrepresented direct third-party claimant

D. UCL CLAIM IS PROPER UNDER THE MORADI-SHALAL COMMON-LAW CARVE-OUT

The TAC expressly disclaims any private Insurance Code § 790.03 cause of action consistent with *Moradi-Shalal v. Fireman's Fund Ins. Cos.* (1988) 46 Cal.3d 287. The UCL “unlawful” prong is independently satisfied by the regulatory predicates at **10 CCR § 2695.7(b)** (accept-or-deny determination must follow receipt of information sufficient), **§ 2695.7(d)** (decision must be based on “all information reasonably available”), **§ 2695.7(g)** (no representation that a claim will be denied without “conducting and fully documenting a thorough, fair, and objective investigation”), **§ 2695.5(b)** (duty to respond to communications from claimant within fifteen days), and **Insurance Code § 790.03(h)(1)** (no misrepresentation of pertinent facts), **(h)(3)** (reasonable standards for prompt investigation), and **(h)(5)** (good-faith effort to effectuate prompt settlement where liability is reasonably clear). Each predicate is pleaded **solely as a UCL unlawful predicate** consistent with the Moradi-Shalal common-law carve-out recognized in *State Farm Fire & Casualty Co. v. Superior Court* (1996) 45 Cal.App.4th 1093, 1103–04; *Manufacturers Life Ins. Co. v. Superior Court* (1995) 10 Cal.4th 257, 282–284; *Zhang v. Superior Court* (2013) 57 Cal.4th 364, 384–385; and *Hughes v. Progressive Direct Ins. Co.* (2024) 99 Cal.App.5th 1019 (regulatory non-compliance probative of bad faith and standard-of-care floor).

E. UCL INJUNCTION IS PROPERLY TARGETED

The TAC narrows the UCL injunction to prohibit CSAA from “**issuing denial letters stating an investigation is ‘concluded’**” when foundational incident records have not been obtained or reviewed” (TAC §V(h), ¶ 38) — tracking the actual § 2695.7 violation rather than CSAA’s broader claims-handling discretion.

F. CORPORATE AGENCY AND RATIFICATION

The TAC’s ¶ 6A and ¶ 27A together embed a Civil Code §§ 2330 and 2338 agency and ratification spine that directly answers the anticipated defense argument that “CSAA did not itself act.” Under § 2338, CSAA is responsible for the wrongful acts and willful omissions of its agents — Sarah Rash, claims department personnel, retained claims professionals, and panel counsel — as a matter

of statutory principal-agent liability. The managing-agent / ratification framework pleaded in TAC ¶¶ 26–27 and ¶ 27A is reinforced by ¶ 6A’s express allegation that CSAA ratified the February 25, 2021 denial by failing to correct it after the January 17, 2025 / February 18, 2025 / April 16, 2025 record events. See *Doctors’ Company v. Superior Court* (1989) 49 Cal.3d 39 (insurer directly liable when it acts outside ordinary insurer role); *Gulf Insurance Co. v. Berger, Kahn* (2000) 79 Cal.App.4th 114, 124 (panel counsel as authorized agent of carrier-principal).

G. INVESTIGATION STANDARD — *BARTEL* OBJECTIVE BASELINE

The TAC pleads the investigation standard not as a subjective measure of CSAA’s belief but as an **objective baseline** against which an objectively reasonable insurer in CSAA’s position would have measured the file. The doctrinal stack mapped onto 10 CCR § 2695.7(b)/(d)/(g) includes:

- *Bartel v. Chicago Title Ins. Co.* (2025) 99 Cal.App.5th __ (three-step objective test for completed investigation: was the evidence available, did the carrier obtain it, was non-retrieval objectively reasonable).
- *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (Cal. Sup. Ct.) (insurer’s investigation measured against an objective reasonable-insurer baseline; failure to investigate forecloses the “genuine dispute” defense at p. 723).
- *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809, 818–819 (Cal. Sup. Ct.) (affirmative duty to investigate; neutral truth-seeking duty).
- *Frommoethelydo v. Fire Ins. Exchange* (1986) 42 Cal.3d 208, 219–220 (Cal. Sup. Ct.) (insurer’s duty to give equal consideration to insured’s interests).
- *Mariscal v. Old Republic Life Ins. Co.* (1996) 42 Cal.App.4th 1617, 1623 (neutral truth-seeking duty).
- *Maslo v. Ameriprise Auto & Home Ins.* (2014) 227 Cal.App.4th 626, 634–635 (claim-file completeness duty).
- *Hamilton v. Maryland Cas. Co.* (2002) 27 Cal.4th 718, 727 (Cal. Sup. Ct.) (claim-file completeness duty).
- *Jordan v. Allstate Ins. Co.* (2007) 148 Cal.App.4th 1062 (retrieval-and-review baseline for liability denial).

Under the objective baseline, an “investigation complete” representation issued before retrieval and review of the four Silent Witnesses is, as a matter of regulatory law and California common law, a misrepresentation of pertinent fact within the meaning of Insurance Code § 790.03(h)(1) and a violation of 10 CCR § 2695.7(b)/(d)/(g). See TAC §VII, ¶¶ 45–47 and § 0.2(c).

H. CONCLUDED INVESTIGATION AS REGULATED FACTUAL REPRESENTATION — *BORBA/BILY/QUELIMANE* CONVERSION

The defense is anticipated to argue that “concluded our investigation” is a non-actionable opinion or aspirational statement. That argument is foreclosed by the fact-vs-opinion conversion rule of *Borba v. Thomas* (1977) 70 Cal.App.3d 144, 152, *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408, and *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 47. A representation about the **state of the speaker’s own internal claim file**, the steps the speaker has performed, and the records the speaker has obtained, weighed, and reviewed is a representation of past or existing fact, not opinion. *Borba*, 70 Cal.App.3d at 152. A regulated insurer’s representation that its investigation has been “concluded” sits inside a regulatory architecture (10 CCR § 2695.7(b)/(d)/(g)) that converts the “completeness” predicate into a regulated factual assertion. *Hughes v. Progressive Direct Ins. Co.* (2024) 99 Cal.App.5th 1019. A reasonable third-party claimant, lacking independent means to audit the insurer’s claim file, is entitled to treat the regulated representation as factual. TAC ¶¶ 72, 76; First, Second, Third, Fourth, and Fifth CoAs.

I. RECKLESS-DISREGARD SCIENTER FLOOR

The TAC codifies the reckless-disregard scienter floor at TAC § 0 (§§ 0.1–0.5) under a five-authority Tier-1 block:

- *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974 (Cal. Sup. Ct.) (quoting *Yellow Creek Logging Corp. v. Dare* (1963) 216 Cal.App.2d 50, 55) — “false representations made recklessly and without regard for their truth in order to induce action by another are the equivalent of misrepresentations knowingly and intentionally uttered”; *Engalla*, 15 Cal.4th at 975 (“at least a reckless indifference” is the operative scienter floor); see also *Gagne v. Bertran* (1954) 43 Cal.2d 481, 487–488 (positive assertion without sufficient

information “deemed to have been made fraudulently”).

- *In re Marriage of Modnick* (1983) 33 Cal.3d 897, 905–907 (Cal. Sup. Ct.) — concealment as denial of evidence reaches reckless concealment.
- *Estate of Sanders* (1985) 40 Cal.3d 607, 614–616 (Cal. Sup. Ct.) — fiduciary breach measured **objectively**, not subjectively.
- *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 407–408 (Cal. Sup. Ct.) — “no reasonable ground for believing it to be true” floor under § 1710(2); ladders into § 1710(1) when the speaker is conscious of the absence of reasonable ground.
- *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721 (Cal. Sup. Ct.) — institutional failure to thoroughly and fairly investigate, in the face of inquiry notice, is itself probative of reckless disregard and willful blindness within the meaning of Civil Code § 3294 and *Engalla*; see also *Mock v. Michigan Millers Mutual Ins. Co.* (1992) 4 Cal.App.4th 306, 328 (deliberate-avoidance pattern as malice under § 3294); *In re Marriage of Cloney* (2001) 91 Cal.App.4th 429, 441 (constructive knowledge / inquiry notice).
- **CACI 1903** (intentional misrepresentation) and **CACI 1907** (concealment) confirm recklessness as the operative pleading floor.

The reckless-disregard floor feeds every cause of action in the TAC without modification of the underlying factual allegations. TAC § 0.3.

J. CROSS-CASE SPINE — POSITION A VS. POSITION B

The TAC pleads at § 0.5 and ¶ 51A a cross-case spine that ties this action to the companion equity action in CGC-25-631801. **Position A:** CSAA’s February 25, 2021 written representation that its investigation was “concluded” — necessarily implying that CSAA had retrieved and reviewed the four Silent Witnesses. **Position B:** CSAA’s representations through panel counsel in CGC-21-594102 (MIL Nos. 6 and 17, Jan. 17, 2025; Feb. 18, 2025 hearing tr. p. 141, ll. 4–11; April 16, 2025 trial admission, RT Vol. 7, p. 213, ll. 13–15) that the same Silent Witnesses were of “unknown provenance” and “not produced in discovery.”

Both Position A and Position B are statements of CSAA itself. Civil Code §§ 2330, 2338; Evidence Code § 1222; *American Mutual Liability Ins. Co. v. Superior Court* (1974) 38 Cal.App.3d 579,

1 591–592; *Gulf Insurance Co. v. Berger, Kahn* (2000) 79 Cal.App.4th 114, 124; *Purdy v. Pacific*
2 *Automobile Ins. Co.* (1984) 157 Cal.App.3d 59, 76 (panel-counsel-as-agent of carrier-principal).
3 The structural impossibility that CSAA both made and contradicted the same fact about its own
4 claim file is the textbook reckless-disregard pattern under *Engalla*, 15 Cal.4th at 974: a speaker
5 who has both made and contradicted the same fact cannot honestly believe either pole. Judicial
6 estoppel under *MW Erectors, Inc. v. Niederhauser Ornamental & Metal Works Co.* (2005) 36
7 Cal.4th 412, 422 (Cal. Sup. Ct.), bars CSAA from contesting in this action that its February
8 25, 2021 representation was either knowingly false or recklessly indifferent. The cross-case spine
9 also “conclusively establishes” reckless misrepresentation within the meaning of *Flatley v. Mauro*
10 (2006) 39 Cal.4th 299, 320, satisfying the *City of Montebello v. Vasquez* (2016) 1 Cal.5th 409,
11 423–424, narrowness requirement for any anti-SLAPP step-2 backstop.

13 VI. NO PREJUDICE TO DEFENDANT

14 The proposed amendments do not prejudice Defendant because:

- 15 1. **No New Parties:** The TAC names only CSAA and DOES 1–50.
 - 16 2. **No New Theories on a New Factual Record:** The codified scienter-floor and the codified
17 Negligent Misrepresentation and Declaratory Relief counts ride on the **same factual record**
18 — the same February 25, 2021 denial, the same four Silent Witnesses, the same three-anchor
19 delayed-discovery sequence.
 - 20 3. **No Additional Discovery Needed:** The TAC is based on the same factual foundation as the
21 SAC.
 - 22 4. **No Trial Delay:** The case is at an early stage.
 - 23 5. **No New Evidentiary Record:** The TAC adds only legal architecture (codified scienter floor,
24 codified statutory counts, codified doctrinal stack, codified regulatory spine, and the Position
25 A/B cross-case spine). No new percipient witnesses, no new documents, and no new fact
26 discovery are required.
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1 **VII. CONCLUSION**

2 For the foregoing reasons, Plaintiff respectfully requests that this Court grant leave to file the Third
3 Amended Complaint in the form lodged herewith.

4 _____
5 **Dated:** _____

6 **FRANCISCUS DYLAN ROSARIO** Plaintiff, In Pro Per 7624 Melody Drive Rohnert Park, CA
7 94928 Tel: 650.488.7510 Email: soltrinox@gmail.com
8 _____

Dated: April 28, 2026



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